

Paradiem

The Morning Brief

JUNE 11, 2026

Hot Print, Hard Tape

May CPI prints 4.2% headline YoY against a softer 2.9% core as the U.S.-Iran exchange enters a second day and Oracle initially traded down in the after-hours on capex framing.

S&P 500	NASDAQ	WTI (USO)	MAY PPI	FEAR & GREED
\$725.43 · ↓1.58%	\$693.69 · ↓2.00%	\$134.30 · ↑2.28%	7:30 AM CT · per BLS	12 (Crypto fallback) · CNN gauge per workflow note

SECTION 01

Markets

WEDNESDAY DELIVERED THE MOST DECISIVE RISK-OFF SESSION OF THE RECENT WINDOW WITH THE S&P 500 PROXY ↓1.58% TO \$725.43, THE NASDAQ PROXY ↓2.00% TO \$693.69, AND THE DOW PROXY ↓1.80% PER THE DATA DROP — THE BLS CONFIRMED MAY CPI AT 4.2% HEADLINE YOY (THE HIGHEST READING SINCE APRIL 2023 PER MORNINGSTAR AND KIPLINGER COVERAGE) WITH A SOFTER 2.9% CORE YOY AND 0.2% CORE MONTH-OVER-MONTH PRINT, BELOW THE 0.3% CONSENSUS PER LSEG-POLLED ECONOMISTS PER CNBC, AS THE U.S.-IRAN STRIKE EXCHANGE ENTERED A SECOND DAY PER REUTERS

Per the BLS release, the energy index ↑3.9% in May accounted for over sixty percent of the monthly headline increase, validating the “hot growth, cooling labor, energy-driven inflation” framing the prior briefs have anchored. The sector tape rotated decisively defensive: Staples (XLP) ↑1.65% and Energy (XLE) ↑1.50% led the green tally with Utilities (XLU) ↑0.05% and Real Estate (XLRE) ↑0.04% the only other green sectors, while Industrials (XLI) ↓3.38%, Materials (XLB) ↓2.30%, and Tech (XLK) ↓2.29% carried the red per the data drop. UVXY ↑8.94% to \$33.27 expanded the implied vol meaningfully, and TLT ↓0.28% to \$84.88 priced the cross-currents of a hot-headline-plus-soft-core print with the 20-year complex little-changed in absolute terms. Within FCI, the dividend defensives carried the sleeve: BKH ↑6.14% to \$71.94 on the company’s 1.8-gigawatt Cheyenne project update per Yahoo coverage, CL ↑2.45%, CHD ↑1.20%, ATO ↑0.98%, NEE ↑0.34%. The energy sleeve participated on the oil bid: DVN ↑5.74% to \$46.60 on Devon’s framework targeting 70% shareholder return per Yahoo coverage, OKE ↑3.17% to \$90.57 on the BofA reiteration per Yahoo, VLO ↑1.66% to \$257.99, CVX ↑1.63% to \$189.80. Semis carried the bulk of the drawdown: QCOM ↓6.92% to \$191.20, MRVL ↓5.35% to \$252.59, AMD ↓4.86% to \$452.40, NXPI ↓3.98% to \$285.56, NVDA ↓3.73% to \$200.42, TSM ↓4.48% to \$408.75; CAT ↓6.40% to \$856.16 led the industrial-cyclical drag amid the unexpectedly strong-payrolls Fed-rate-cut compression framing per Benzinga.

ORACLE REPORTED Q4 FISCAL 2026 AFTER WEDNESDAY’S CLOSE WITH RECORD REVENUE OF \$19.2B (↑21% YOY) AND NON-GAAP EPS OF \$2.11 VS THE \$1.89 CONSENSUS PER ALPHASTREET COVERAGE — OCI ↑93%, TOTAL CLOUD REVENUE ↑47% TO \$9.9B, AND REMAINING PERFORMANCE OBLIGATIONS GREW APPROXIMATELY \$85B IN THE QUARTER TO \$638B PER THE COMPANY’S RELEASE, WITH SHARES INITIALLY DOWN APPROXIMATELY 7% IN THE AFTER-HOURS

BEFORE PARING TO APPROXIMATELY ↓1% PER GURUFOCUS AND TRADINGKEY COVERAGE AS THE MARKET WEIGHED CLOUD REVENUE AGAINST ELEVATED EXPECTATIONS AND THE IMPLIED CAPEX RAMP TO \$55.7B

Per the company’s release covered by ERP Today, the \$85B sequential RPO increase reflects large-scale AI contracts in which customers either prepaid Oracle for GPUs or supplied

them directly, framing the durability of the AI-cloud demand backbone. Per tradingkey coverage, the planned approximately \$40B financing program (including the previously announced \$20B equity sale) and the capex framing represent the principal AH compression catalyst rather than the operating results. For FCI's supplier sleeve, the read-through is constructive on the long-arc capex thesis but tactically muted into Wednesday's broader semi drawdown; CRDO closed Wednesday ↑1.43% to \$237.68 against the broader chip pressure, holding the idiosyncratic positive flow signal per Benzinga. The cleaner near-term read sits with Adobe after today's close (consensus \$5.81 EPS on \$6.45B revenue per Alphastreet), the binding earnings-side test of whether generative AI displaces or expands creative software demand per techtimes framing, with options-implied move near 9.45% per TipRanks.

S&P 500 (WED)	\$725.43 · ↓1.58% · L:\$725.33
NASDAQ (WED)	\$693.69 · ↓2.00% · L:\$692.93
DOW (WED)	\$500.25 · ↓1.80%
UVXY (VIX PROXY)	\$33.27 · ↑8.94%
XLP · XLE	↑1.65% · ↑1.50% (led)
XLI · XLB · XLK	↓3.38% · ↓2.30% · ↓2.29%
QCOM · MRVL	↓6.92% · ↓5.35%
CAT (WED)	\$856.16 · ↓6.40%
GOLD (GLD)	\$374.58 · ↓4.15%
MAY CPI	4.2% YoY headline · 2.9% core YoY
ORCL AH	Initial ↓7% · pared to ↓1% per Gurufocus

MAY PPI RELEASES AT 7:30 AM CT TODAY PER THE BLS SCHEDULE OF RELEASES, FOLLOWING THE APRIL PRINT OF 1.4% MONTH-OVER-MONTH AND 6.0% YEAR-OVER-YEAR (THE HIGHEST PPI READING SINCE 2022 PER RBC COVERAGE) — THE PRINT CARRIES PARTICULAR CROSS-CURRENT WEIGHT INTO THE JUNE 16–17 FOMC PER THE FEDERAL RESERVE'S PUBLISHED CALENDAR, WITH THE ECB ALSO DELIVERING ITS RATE DECISION TODAY PER MULTIPLE OUTLETS AND ADOBE REPORTING AFTER THE CLOSE

Per the BLS release covered by Trading Economics, the April 6.0% PPI YoY print frames a producer-side inflation signal materially hotter than the CPI complex, consistent with the energy-pass-through dynamic the May CPI just confirmed; a sustained hot PPI today would harden the rate-path conversation further into the FOMC meeting next week. Per multiple outlets covering the calendar, the ECB rate decision sits alongside today as a cross-asset variable for the dollar complex and the EU-bank sleeve. Adobe's consensus per Alphastreet sits at \$5.81 EPS on \$6.45B revenue versus Adobe's own guide of \$5.80–\$5.85 EPS on \$6.43–\$6.48B revenue per the company's Q1 release; per techtimes coverage, the stock is approximately ↓30% YTD into the print, framing the implied move per TipRanks options data near 9.45%. The dividend backbone (SYK \$308.84, ABT \$89.17, DGX \$203.78, LMT \$525.02, GD \$341.07, CHD \$98.19) carried Wednesday's drawdown unevenly but holds the cash-flow durable framework into both the macro print and the earnings catalyst.

A hot energy-driven CPI headline against a softer core leaves the rate-path conversation hardened into next week's FOMC meeting; the cash-flow durable sleeves carry the risk-symmetric framework against the macro and geopolitical cross-currents. Avoid Erosion.

Geopolitics

THE U.S.-IRAN STRIKE EXCHANGE ENTERED A SECOND DAY WEDNESDAY PER REUTERS, MATERIALLY REVERSING THE TRUMP-FRAMED LATE-STAGE NEGOTIATION POSTURE THAT MONDAY'S BRIEF HAD ANCHORED — PRESIDENT TRUMP STATED PER MULTIPLE OUTLETS THAT IRAN HAD DELAYED THE NEGOTIATION AND WOULD FACE CONSEQUENCES, AND CENTCOM CONFIRMED EXPANDED U.S. STRIKES ON IRANIAN MILITARY SURVEILLANCE CAPABILITIES, COMMUNICATIONS, AND AIR DEFENSE SITES PER RFE/RL COVERAGE WITH OVERNIGHT REPORTS OF EXPLOSIONS HEARD ACROSS VARIOUS PARTS OF IRAN, AS BRENT (BNO) ↑1.98% TO \$51.46 AND WTI (USO) ↑2.28% TO \$134.30 PER THE DATA DROP PRICED THE RENEWED CONFLICT CADENCE

Per CNBC's reporting Wednesday, investors are increasingly framing the conflict as an extended rather than near-term-resolving dynamic, marking a shift from pricing a ceasefire to pricing sustained uncertainty. Overnight, per Fars News coverage cited across outlets, Iran reportedly framed an end to military operations and Brent futures pared an early advance toward unchanged after an initial up-move per CNBC and tracking outlets; Trump separately referenced ongoing ceasefire discussions per multiple outlets. The pattern is consistent with the position-symmetric framework Carson anchored Monday: the framework remains operative as the diplomatic window has not formally closed but the cost-of-failure calculus has hardened on both sides. For FCI's Energy sleeve, the conflict cadence drove the strongest day-over-day move of the week: DVN ↑5.74% to \$46.60, OKE ↑3.17% to \$90.57, VLO ↑1.66% to \$257.99, CVX ↑1.63% to \$189.80, CNX ↑0.39% to \$33.20. Defense compressed counter to the strike cadence: LMT ↓0.96% to \$525.02 and GD ↓1.33% to \$341.07 per the data drop — per Yahoo coverage Wednesday, the Trump administration is reportedly meeting with defense companies on ramping up production, framing the prior compression as a tactical positioning unwind against the structural backlog. The headline read remains: a sustained-disruption scenario favors the FCI energy weighting while a re-anchoring of the diplomatic track removes the structural Brent premium per Capital.com coverage across prior weeks. **The physical world matters.**

GOLD (GLD ↓4.15% TO \$374.58) FELL MATERIALLY PER THE DATA DROP DESPITE THE STRIKE CADENCE AND THE HOT HEADLINE PRINT — A COUNTERINTUITIVE PATTERN VERSUS A CLEAN RISK-OFF AND CONSISTENT WITH THE RATE-PATH HARDENING THAT THE HOT-HEADLINE PLUS HOT-PPI-TREND COMPLEX HAS DRIVEN ACROSS RECENT WEEKS, AS HIGHER REAL YIELDS COMPRESS THE NON-INTEREST-BEARING METALS COMPLEX EVEN AGAINST INFLATION ACCELERATION

Per Reuters Wednesday, gold steadied after hitting a six-month low with inflation data in focus — the data drop captures the close near that range. Silver (SLV ↓2.29% to \$57.66) joined the compression. Per the data drop, the cross-asset pattern of higher oil, lower gold, hot CPI, and softer Treasuries (TLT ↓0.28% to \$84.88) is internally consistent with a rate-path-driven framework rather than a flight-to-safety pattern. The implication for FCI's metals-adjacent exposure: AEM ↓4.66% to \$152.48 per the data drop participated in the compression, with the Rupert Resources acquisition agreement per Benzinga coverage Wednesday providing

structural M&A optionality. FCX ↓3.38% to \$62.08 carried the broader industrial-cyclical pressure. The digital-asset complex stayed muted with IBIT ↓0.17% to \$35.08 and ETHA ↓1.60% to \$12.28 — the relative resilience versus the gold compression frames a constructive read for the structural integration thesis FCI's prior briefs have anchored.

U.S.-IRAN (WED)		Strike exchange Day 2 per Reuters
TRUMP POSTURE		Cited Iran delay · signaled consequences per outlets
CENTCOM STRIKES		Surveillance, comms, air defense per RFE/RL
OVERNIGHT BRENT		Initial up-move pared per CNBC tracking
IRAN POSTURE (O/N)		Halt framing per Fars News
WTI · BRENT (WED)		\$134.30 ↑2.28% · \$51.46 ↑1.98%
DVN · OKE		↑5.74% · ↑3.17%
LMT · GD (WED)		\$525.02 ↓0.96% · \$341.07 ↓1.33%

On Our Radar

1. May PPI releases at 7:30 AM CT today per the BLS Schedule of Releases — the April print of 1.4% month-over-month and 6.0% year-over-year (the highest reading since 2022 per RBC coverage) frames a producer-side inflation signal that, if sustained, would harden the rate-path conversation further into the June 16–17 FOMC meeting per the Federal Reserve’s published calendar. The ECB rate decision sits alongside per multiple outlets’ calendars as a cross-asset variable for the dollar complex and the EU-exposure sleeve. Per the data drop, EIA Crude Oil Stocks consensus sits at –4M against a –7.97M prior with the strike-exchange overlay materially increasing the read-through weight of the print. *Research Reveals Opportunities.*

2. Oracle’s after-hours print delivered record Q4 revenue of \$19.2B (↑21% YoY) with non-GAAP EPS at \$2.11 vs the \$1.89 consensus per Alphastreet, OCI ↑93%, total cloud ↑47% to \$9.9B, and RPO ↑\$85B sequentially to \$638B per ERP Today — shares initially fell approximately 7% in after-hours before paring to approximately ↓1% per Gurufocus and tradingkey coverage as the market weighed cloud revenue against elevated expectations and the implied capex ramp toward \$55.7B with planned \$40B in debt-and-equity financing. The print validates the long-arc AI-cloud demand thesis at the disclosure level (a step-function sequential RPO increase per ERP Today and the company’s release) while compressing the multiple framework against the capex intensity. For FCI’s supplier sleeve (CRDO ↑1.43% Wednesday against the broader chip pressure, KEYS, MRVL, NXPI), the read-through is constructive on the structural backbone but tactically muted into Adobe today and the broader semi positioning unwind. *Think Like an Owner.*

3. Adobe reports Q2 fiscal 2026 after today's close per Adobe's IR calendar with consensus at \$5.81 EPS on \$6.45B revenue per Alphastreet, versus the company's own guide of \$5.80–\$5.85 EPS on \$6.43–\$6.48B revenue per its prior release — per techtimes coverage, ADBE is approximately ↓30% YTD into the print, with the TipRanks options-implied move near 9.45% framing the print as the binding live test of whether generative AI displaces or expands creative software demand. The market read sets the tone for the broader software sleeve into the FOMC window; combined with Oracle's capex-driven AH compression, the cohort sits structurally exposed to whether the AI-demand thesis translates into operating-line acceleration or compresses the multiple framework further. *Research Reveals Opportunities.*

4. The Wednesday semiconductor drawdown — QCOM ↓6.92% to \$191.20, MRVL ↓5.35% to \$252.59 (with the S&P 500 inclusion catalyst per Yahoo coverage providing structural offset), AMD ↓4.86% to \$452.40, NXPI ↓3.98% to \$285.56, NVDA ↓3.73% to \$200.42, and TSM ↓4.48% to \$408.75 per the data drop — reasserts the position-unwind framework that the Monday recovery had only partially cleared. Per Yahoo coverage, FormFactor and NXPI shares fell as the renewed Middle East tensions overlay weighed on the sleeve; per Benzinga, NVDA continues to surface in the long-arc capex commentary including potential shareholder-return implications. The Oracle AH read provides structural validation of the AI-cloud demand backbone but does not directly reverse the near-term positioning pressure. CRDO held idiosyncratically positive against the broader pattern. *Avoid Erosion.*

5. The FCI dividend defensive sleeve led the green tally Wednesday: BKH ↑6.14% to \$71.94 on the company's 1.8-gigawatt Cheyenne project update per Yahoo, CL ↑2.45% to \$89.95, CHD ↑1.20% to \$98.19, ATO ↑0.98% to \$169.27, and ORI ↑1.37% to \$38.40 per the data drop — the pattern is consistent with the defensive rotation that the XLP ↑1.65% and XLU ↑0.05% sector tape separately confirmed. Per the data drop's holdings news, DVN's framework targeting 70% shareholder return per Yahoo coverage drove the energy-sleeve leadership alongside the conflict-cadence oil bid. The compounding-through-cycle framework that the prior briefs have anchored remains the operative posture: the sleeve does not require any single macro variable to resolve favorably to deliver cash flow durability. *Simplicity Over Complexity.*

6. Carson's active SPY \$645.80 support remains untouched per the data drop — Wednesday's S&P 500 proxy intraday low printed at \$725.33 against the \$725.43 close, leaving Carson's level approximately 11.0% below Wednesday's deepest print, modestly compressed from the prior session's 11.7% gap. The framework remains the committee's reference for a sustained retracement scenario rather than an actionable near-term marker. Per the data drop's sentiment line, the Fear & Greed reading at 12 (Extreme Fear) reflects the CNN endpoint fallback to the crypto gauge per the workflow note rather than CNN's stock-market gauge directly; the workflow flag notes that CNN's stock-market gauge sits above the crypto fallback. Today's May PPI release at 7:30 AM CT and the ECB rate decision are the binding near-term macro variables; the June 16–17 FOMC remains the dominant anchor per the Federal Reserve's published calendar. *The physical world matters.*